

Introduction to Accounting



Learning Objectives:

- ▶ After studying this chapter, you should be able to understand:
 - ▶ Meaning of Accounting
 - ▶ Accountancy, Accounting and Book-keeping
 - ▶ Relationship between Accountancy, Accounting and Book-keeping
 - ▶ Distinguish between Book-keeping and Accounting
 - ▶ Name of Users of Accounting information
 - ▶ Advantages and limitations of Accounting.
 - ▶ Basic Accounting terms
 - ▶ Double Entry System of Book-keeping

Introduction

According to American Institute of Certified Public Accountants, “Accounting is the art of recording, classifying and summarising the economic information in a significant manner in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof.”



Recording



Classifying



Summarising

Features of Accounting

- 1. Identification of Financial Transactions and events: - Accounting records only those transactions that are atleast financial in character and can be measured in terms of money.
- 2. Recording: - Any transaction of financial character must be written soon after its occurrence in the books of accounts for example-Journal cash book, sale book, purchase book etc.
- 3. Classification: - All the transactions are classified in various books of accounts according to its nature i.e. personal, real or nominal. This helps to know what is due to the business from outsiders and what is due from business to the outsiders.



- ▶ 4. Summarizing: - This involves presenting the classified data in a manner which is understandable and useful to both internal and external users. This process lead to preparation of Trial balance from various balances extracted from ledger. Trading and profit and loss account to know the profit or loss for a specified period and Balance Sheet on a particular date.
- ▶ 5. Analysis and interpretation :- On the basis of balances extracted various result are drawn by making profit and loss A/C, balance sheet, looking out various ratio and other statement. After preparing various statements the decisions are made and judgement formed. Implication of various result are understood. This is done by interpreting the ratios to know the progress, prosperity and efficiency of a concern.



Objectives of Accounting

Maintain Systematic Accounting Records

Ascertain Financial Performance

Helps to Management in Decision Making

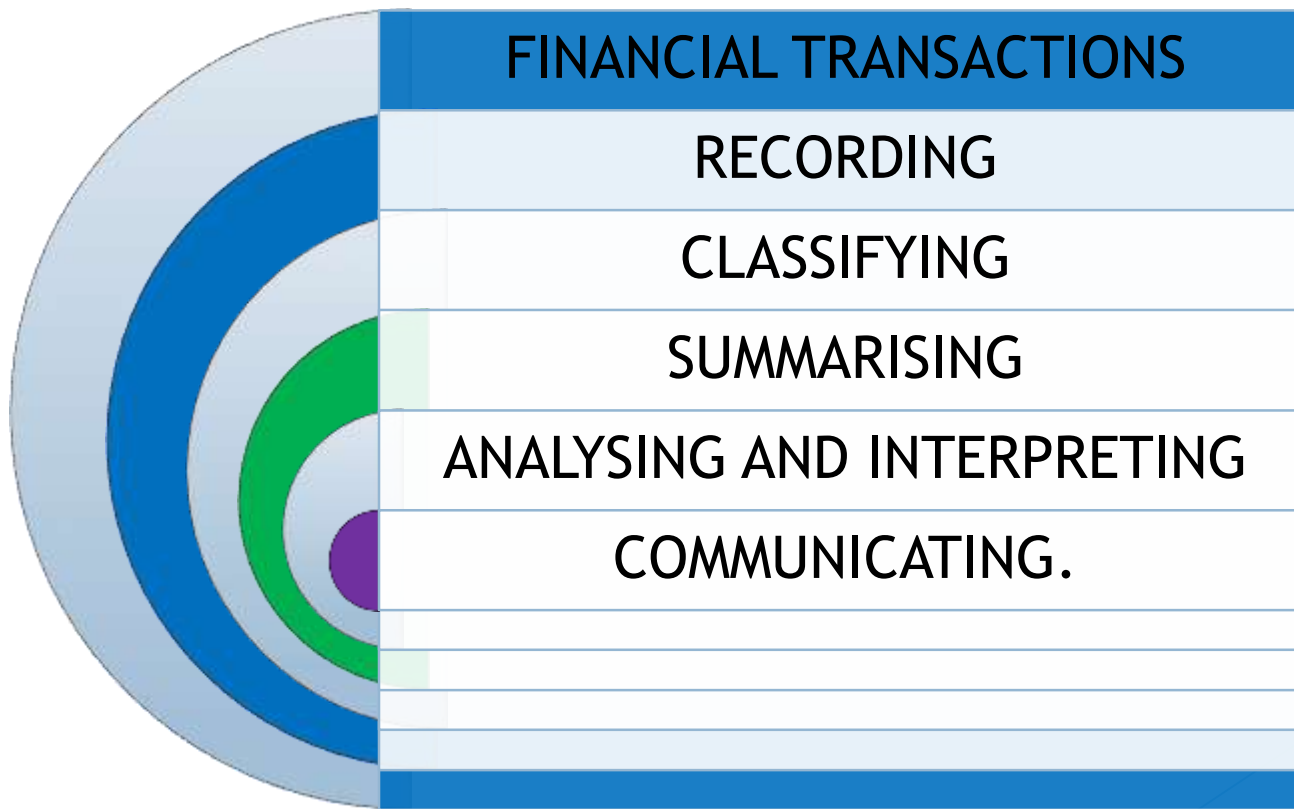
Helps to

Determining Financial Position

Communicate Accounting Information to Users

Protecting Business Assets

ACCOUNTING PROCESS



B R A N C H E S

Financial Accounting :- It is that branch of accounting which records financial transactions and events, summarises and interprets them and communicates the results to the users. It ascertains profit earned or loss incurred during an accounting period (usually a year) and the financial position at the end of accounting period.

Cost Accounting :- It deals with ascertaining the cost of products manufactured or services rendered and helps the management in reducing and controlling cost and decision-making (say price fixation) and exercising controls over business.

Management Accounting :- It is the most recently developed branch of accounting. It is concerned with generating accounting information relating to funds, costs, profits, etc., as it enables the management in decision-making.

Functions of Accounting

1. **Keeping Systematic Records**: - Primary function of accounting is to keep systematic records of financial transactions to post them to ledger A/C and ultimately prepare final statements.
2. **Protecting property of the business**: - The function of accounting is to protect the property of the business. An unauthorized dissipation of assets of the firm will bring it to the threshold of insolvency.
3. **Meeting legal requirement**: - A business has to file various statements i.e. income tax returns, sales tax and so on. Accounting system aims at fulfilling these requirement of law.
4. **Communicating the result**: - to communicate the result obtained from analyzing of data to interested parties like proprietors, investors, creditors, employees, government official and researchers.
5. **Assistance to Management** :- Accounting helps management in decision making by providing essential and useful information about the business run by them.

Advantages of Accounting

- 1. **Helpful in management of business**: - Accounting helps management by providing essential and useful information about the business run by them.
- 2. **Helpful in the payment of income tax and sales tax**: -If accounts are maintained according to the principle of accounting it Helps to Pay taxes such as income tax, corporation tax etc.
- 3. **Helps in sale of business**: - If the businessman wants to sell his running business he can realize its reasonable price only if he had maintained proper accounts according to the principles of accounting
- 4. **Aid to memory**: - A businessman cannot remember all the transactions however sharp his memory may be therefore every transaction should be recorded in so that there may not be any mis-appropriation.
- 5. **Proof in the court of laws**: - If the accounts of the business are kept properly according to the principles of accounting they can be presented in the court of laws for giving necessary documentary proof.



6. **Helpful in the realization of debts:** - Accounting process is useful in realizing of debts from other persons. As a proof of debts accounts books can be produced in the court of law.
7. **Helpful in making comparative study:** - Systematic records enables businessman to compare one year result with those of other years. Such comparison reveals efficiencies of the concern so that necessary connective action can be readily taken.
8. **Helpful in planning:** - Management has to plan its business operation for years to come but planning cannot be done without adequate data relating to past sales, output, expenses. The reason is that for any forecast about the future, must be necessarily be based on the past figures.
9. **Makes decision making easy:** - Management has to take literal decisions from time to time about fixation of prices, discount to customers, manufacturing of parts in the company's own factory or producing them from outside. Unless relevant Information is available to the manufacturing it cannot take proper decisions.
10. **Helpful in controlling the business:** - Management should not only plan business operation but it should also see that plans are actually carried out and the costs are kept at minimum. Accounting helps the management in this function (controlling) through sales budget, cost budget etc.

LIMITATIONS

1. **Incomplete information's**: - Accounting records only those transactions which are financial in nature. Qualitative Factors such as competency of the management, change in economic and political situations, govt. policies, competition in the market and change in consumer's preference etc. are not recorded in accounting though they affect the financial soundness of the business.
2. **In-Exactness**: - Accountancy assesses profit or loss of the business on the basis of both the real and assumed estimates. Accountants make the valuation of stock, determine the method of depreciation and maintain various reserves and provisions in any way they like. Different firms have their own different methods so the result of the business will change with the change in practice.

<- DATA

3. **Showing valueless assets**: - There are certain assets which do not have real value but they are shown in our balance sheet. These assets are goodwill, patents, preliminary exp, discount on issue of shares etc. Showing these assets in the books of accounts makes its result doubtful.
4. **Manipulation**: - Accounting results are based upon the information supplied to it. The management may be biased and feed manipulated Accounts can show the result of business as derive by the owners of the business.
5. **Ignorance about the present value of business**: - While maintaining books of accounts we follow going concern concept i.e. The business will be carried on for indefinite period. With this principle in view we show the value of our assets in the balance sheet as its book value and not at the market value. Sometimes certain assets may be valueless in the market but we continue to show it in the books of accounts.

BOOK KEEPING

- ▶ According to A.H. Rozencomph : - Book-Keeping is the art of recording business transactions in a systematic manner.
- ▶ According to Botliboi: - Book-keeping may be defined as the science of recording pecuniary transaction under appropriate heads.
- ▶ Accounting = Book-Keeping (recording, classifying, summarizing) + Analysis and interpretation

BASIS	BOOK KEEPING	ACCOUNTING
1.Scope	BOOK Keeping involves (a) identifying the transactions, (b) measuring the identified transactions (c) recording the measured transactions (d) classifying the recorded transactions.	Accounting in addition to Bookkeeping involves summarizing the classified Transactions, analysing the summarized results, interpreting the analysed results and communicating the interpreted information to the interested parties
2 Stage	Book-keeping is primary stage.	Accounting is the secondary stage. It starts where bookkeeping ends.
3. Basic Objective	To maintain systematic records of financial transactions.	To ascertain net results of operations and financial position and to communicate information to the interested parties.

4. Who Performs	Performed by junior staff.	Accounting work is performed by senior staff.
5. Knowledge Level	The book-keeper is not required to have higher level of knowledge than that of an accountant	The accountant is required to have higher level of knowledge than that of bookkeeper.
6. Analytical Skill	The book-keeper may or may not possess analytical skill.	An accountant is required to possess analytical skill.
7. Nature of Job	Routine and clerical in nature.	The job of an accountant is analytical in nature.
8. Designing of Accounting System	It does not cover designing of accounts system.	It covers designing of accounting system.
9. Supervision & Checking	The book-keeper does not supervise and check the work of an accountant	An accountant supervises and checks the work of a book-keeper

DOUBLE ENTRY SYSTEM OF BOOK-KEEPING.

- ▶ This is a complete system of Accounting as *both Debit and Credit aspects* of a transaction are recorded in the books of accounts.
- ▶ The system is *more reliable and accurate* as the possibilities of *frauds* and *mis-appropriations* are minimised.
- ▶ *Arithmetic accuracies* in records can mostly be checked by preparing the *trail balance*.
- ▶ It is implemented *by big as well as small organisations*.
- ▶ Since double entry system follows specified rules of debit and credit in recording transactions. *It is more scientific* as compared to single entry system.

LIMITATIONS

- 1. Expensive system: Double entry system is quite expensive as a number of books of original entry have to be maintained.
- 2. High knowledge requirement: For maintaining books of accounts under double entry system, person involved must have adequate and specialised knowledge of accounting.
- 3. Chances of errors: Though double entry system tries to ensure that transactions are recorded properly through the preparation of trial balance , it ensure that transactions recorded. Certain types of errors based on omission, commission, principles and compensation are hard to identify.

PRINCIPLES

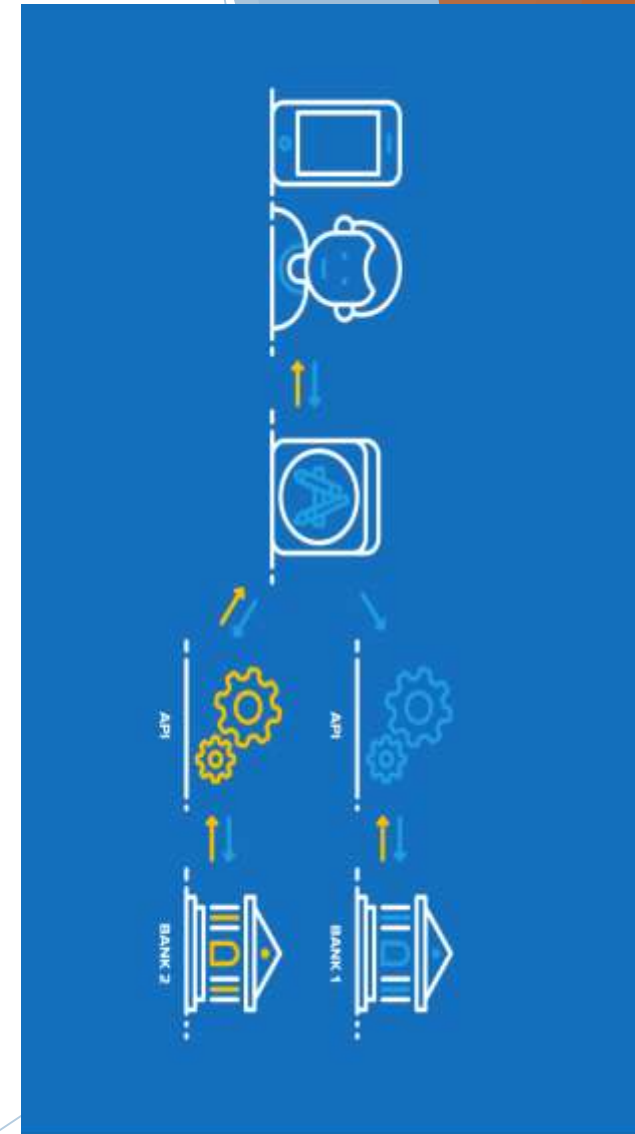
- ▶ (i) Each business transaction affects at least two accounts.
- ▶ (ii) Each account is divided into two parts, i.e., Debit Side and Credit Side.
- ▶ (iii) Division of amount column of journal into Debit and Credit.
- ▶ (iv) Based upon accounting concepts and conventions.
- ▶ (v) Helps in preparing Trial Balance which is a test of arithmetical accuracy in accounting. In a Trial Balance total of all debit is always equal to the total of all credits.
- ▶ (vi) Preparation of final accounts with the help of Trial Balance.

USER OF ACCOUNTING INFORMATION AND THEIR NEEDS

- INTERNAL USERS

- **1. Owners** Owners are directly concerned with the financial performance of the organisation. They need information related to profit or loss and financial position of the organisation for safety of their capital Investment.
- **2. Management** Management needs accounting information for planning and controlling purpose. They need to determine cost of product, selling price, investment into new projects etc.
- **3. Employees & Workers** Employees and workers are interested in financial statements to get salary increment, bonus which is determined on the basis of financial performance and profit of the organisation.

- ▶ **EXTERNAL USERS**
- ▶ **Banks Financial Institutions**- They watch the performance of business to ensure safety and recovery of loan and payment of interest on their loan.
- ▶ **Investors**- Investors need accounting information to know earning capacity of enterprise for safety of their investment and payment of dividend.
- ▶ **Creditor** Creditor are interested in knowing credit worthiness of the organisation before allowing credit sales of significant amount.
- ▶ **Government** Government needs accounting information from different business organisations for making policy and decision. Further, tax authorities of various concerned governments need financial information to evaluate whether the taxes have been paid correctly by the organisations.
- ▶ **Public** Public is interested in knowing whether the organisations are running properly or not because such organisations contribute to public welfare in several forms like providing employment, making goods available, undertaking projects meant for public welfare, etc.

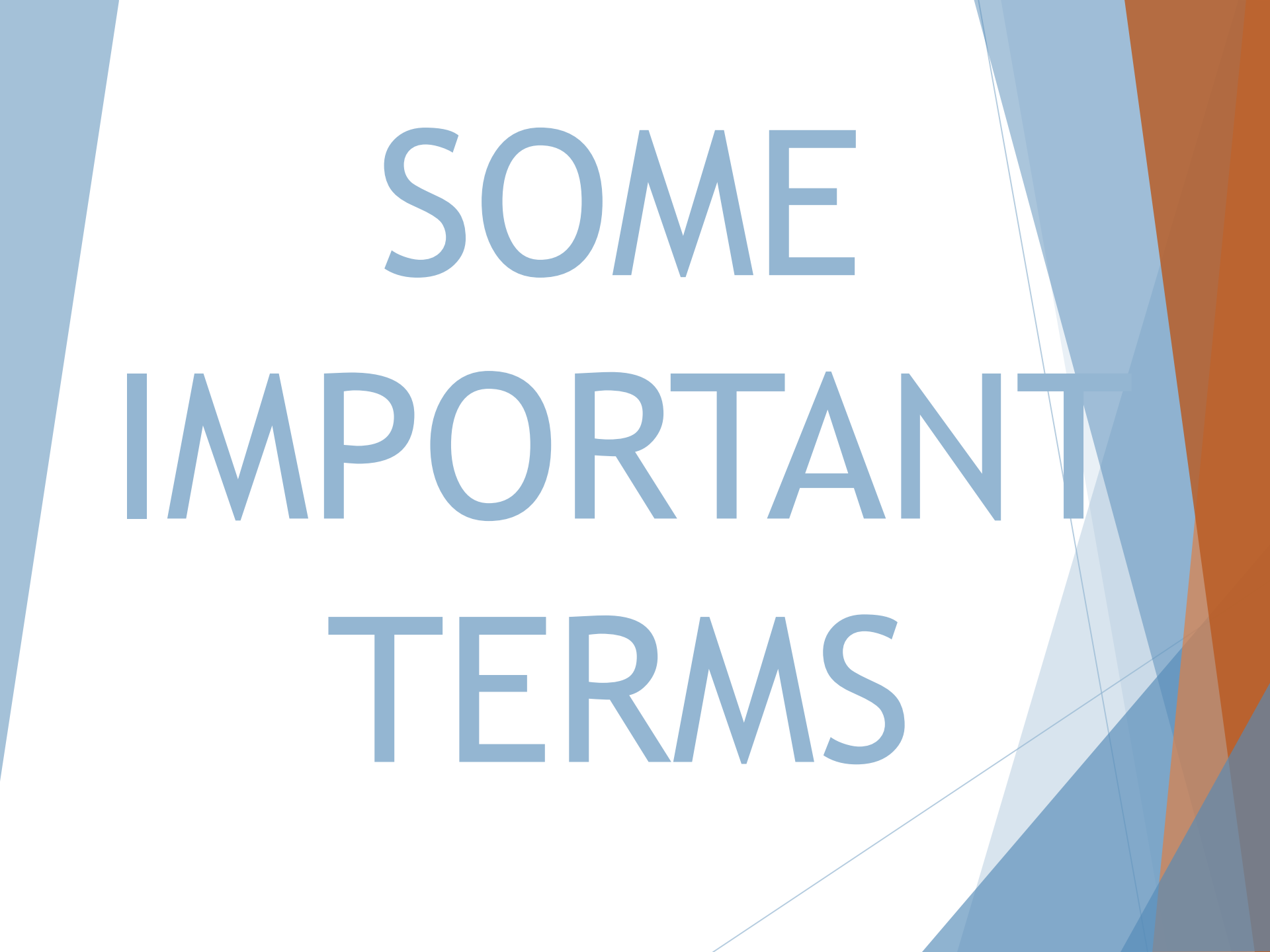


- ▶ **Industry Association** An industry association keeps relevant records of business operations including financial performance of its members for analysis and providing suggestions to improve working of the industry.
- ▶ **Stock Exchange** Stock exchange keep financial records of those companies whose shares are listed in stock exchange for trading. Existing and prospective investors invest in shares of these companies.
- ▶ **Researcher** Researchers need information about financial performance and financial position of the organisations for their research work.
- ▶ **Consumer Association** Consumer association are the not-for-profit organisations established by consumers to protect their interest. These associations need accounting information to assess whether the organisation are making exorbitant profit at the cost of consumer's interest.



QUALITATIVE CHARACTERISTICS OF ACCOUNTING

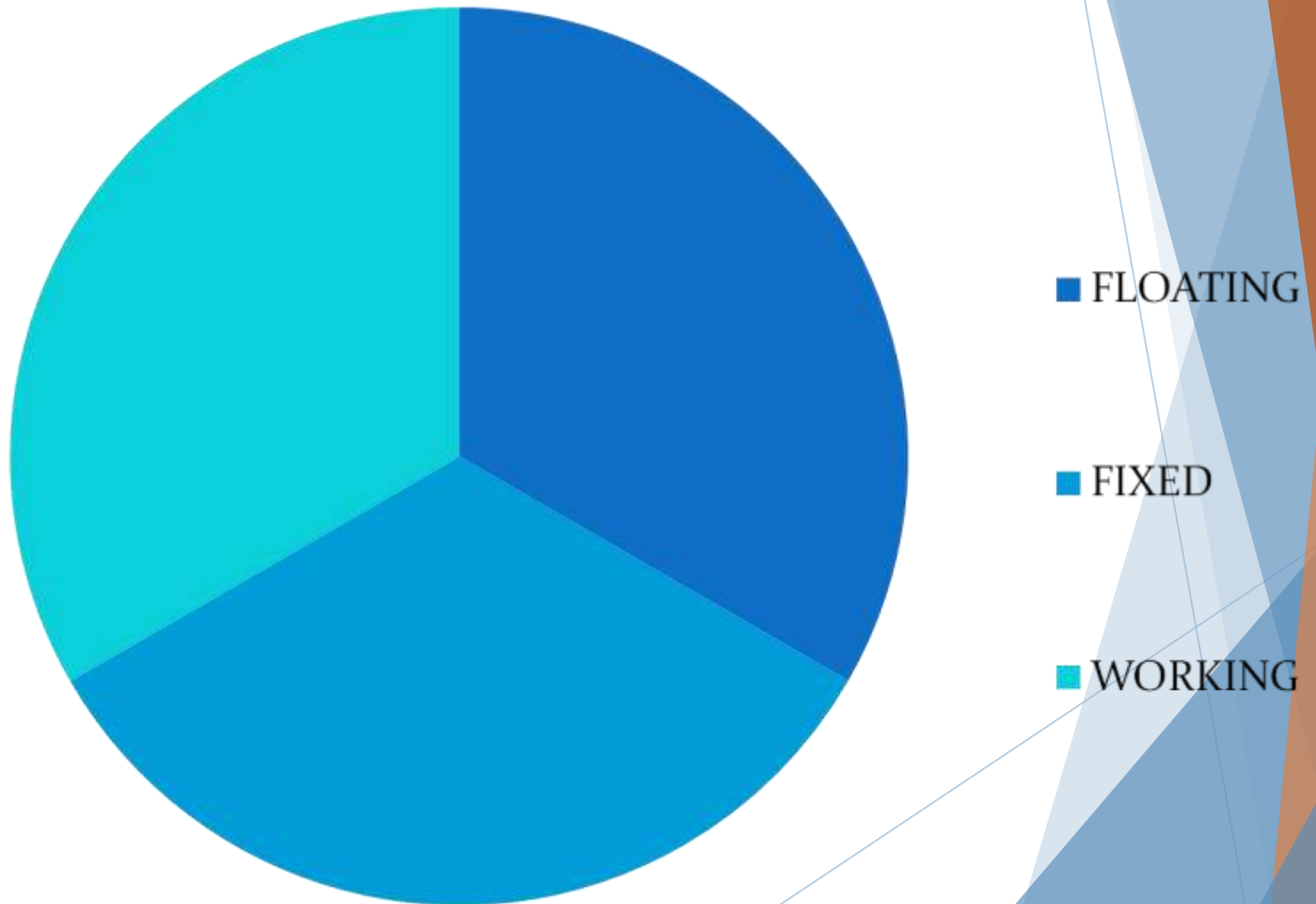
- (i). **Reliability**: Accounting information is meaningful only when it is reliable. Accounting information has reliability when it
 - (a) has true representation of relevant transactions, (b) is verifiable by any one and (c) is complete in all respects.
- (ii). **Relevance**: In order to become effective tool for decision making, accounting information should be relevant to its users. Accounting information has relevance when it (a) influences decision of the users by helping them to evaluate past, present or future events and (b) is received timely.
- (iii). **Understandability** : Accounting information should have understandability from the view point of users. Accounting information has understandability when it is (a) presented in such a form which can be easily understood by the users and (b) devoid of very critical accounting terms and jargons.
- (iv). **Comparability**: To be useful, accounting information should have quality of comparability. Accounting information should have quality of comparability. Accounting information has quality of comparability when (a) information belongs to similar period of time and (b) common unit of measurement and formats of presenting information are used.



SOME IMPORTANT TERMS

- **Business Transaction**:-An economic activity that affects financial position of the business and can be measured in terms of money. e.g., sale of goods, paying for expenses etc.
- **CAPITAL** :- Amount invested by the owner in the firm is known as capital. It may be brought in the form of cash or assets by the owner.
- **FIXED CAPITAL**: - The amount invested in acquiring fixed assets is called fixed capital. The money is blocked in fixed assets and not available to meet the current liabilities. The amount spent on purchase or addition to the fixed asset is fixed capital, plant & machinery, vehicle, furniture and building etc are some of the example of fixed capital.
- **FLOATING CAPITAL**: - Assets purchased with the intention of sales such as stock and investment
- **WORKING CAPITAL**:- The part of capital available with the firm in day to day working of the business in known as working capital.
$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$
- **PROPRIETOR** :- An individual or group of persons who undertake the risk of the business are known as proprietor. They invest their funds into the business as capital.
- **Drawings**:- The money or goods or both withdrawn by owner from business for personal use, is known as drawings.

CAPITAL



- **ASSETS** :- The valuable things owned by the business are known as assets. Assets are the economic resources of an enterprise which can be expressed in monetary terms. It help in generating the revenue in a business are called Assets. There Assets are classified as :
- **CURRENT ASSETS** :- Current Assets are those assets which are held for short period and can be converted into cash within one year. For example: Debtors, stock etc.
- **LIQUID ASSETS** :- Liquidity refers to convertibility in cash. Liquid Assets are those Assets which can be counted into cash at short notice. The example of Liquid Assets are cash in hand , cash at bank , debtors , B/R etc.
- Liquid Assets = Current Assets - (Stock + Prepaid exp.)
- **NON-CURRENT ASSETS /FIXED ASSETS**:- Non-Current Assets are those assets which are hold for long period and used for normal business operation. For example: Land, Building, Machinery etc .
- **TANGIBLE ASSETS** :- Tangible Assets are those assets which have physical existence and can be seen and touched. Tangible Assets can be fixed Assets as well as current Assets. Example :- cash , Building , Plant & Machinery , Stock etc.
- **INTAGIBLE ASSETS**:- Intangible Assets are those assets which have no physical existence and can not be seen or touched. e.g. Goodwill, Software, Trademark, Patents etc.
- **FICTITIOUS ASSETS** :- Fictitious Assets are those Assets that don't have physical from. They don't have any real value. They are not the real Assets but they are called assets on legal and technical grounds. These assets are the revenue expenditure of capital nature which are also termed as. deferred revenue expenditure. The example of these assets are loss on issue of share.

LIABILITY TO OWNERS :- It is the owners claim against the assets of the business , generally known as capital. It is also known as internal equity or shareholders funds.

Owners Equity Or Capital + Profit earned + Retained Earning OR Undistributed Profit

Internal Equity + Interest on Capital - Drawings - Expenses

- **CREDITORS EQUITY** :- It is creditors claim against the assets of the business. There creditors may be creditors for goods and creditors for expenses.
- **CREDITORS IN GOODS** :- Business has to purchase goods on credit so the supplies of goods to the business on credit are known as creditors for goods. They maybe called creditors and bills payables.
- **CREDITORS** :- The persons from whom goods are purchased on credit are called creditors. The sellers of goods on credit to the firm are known as its creditors. They will continue to remain the creditors of the firm so far the full payment is made to them.
- **BILLS PAYABLE** :-In case of bills payable the business man accepts a written order from others. It happens in case of credit purchases. In this case if business man puts his signatures on the written order then it is said that bill has been accepted by the business man and becomes bills payable in him.
- **CREDITORS FOR LOAN** :- There creditors are the parties , bank and other financial institutions. The liability is named as bank loan , bank overdraft , loan from industrial finance corporation etc.
- **CREDITORS FOR EXPENSES** :- Any expenses which has become due in payment but payment is not made is called outstanding expenses. Any persons to whom such payment is to be made is called creditors for expenses. e.g. O/S salaries , O/S cash , O/S rent.
- **LIABILITIES** :-Liabilities are obligations or debts that an enterprise has to pay after some time in the future.
- Liabilities can be classified as:
- **FIXED LAIBILITIES/NON-CURRENT LIABILITIES** :- The liabilities against which payment are to be made after a long time are called long term liabilities. e.g. capital , loan , debentures , mortgage , etc.
- **CURRENT LIABILITY** :-The liabilities against which payment are to be made in a shorter period , usually less than are year are called current or short term liabilities creditor, bills Payable, o/s expenses etc.
- **CONTINGENT LIABILITY** :-These are not the real liabilities. Future events can only decide whether it is really a liability or not. Due to their uncertainty, these liabilities are termed as contingent (doubtful) Liabilities.
- EG- - Value of bills discounted
 - Cases pending in the court of law
 - Guarantee under taken

LAIBILITY



Liability to owner i.e. capital

OR

Owners equity

OR

Internal equity



External Liability

OR

Liability to creditor

OR

creditors equity

EXTERNAL LAIBILITY



Creditors for goods



Creditors for loan



Creditors for expenses

- **RECEIPTS:-**

- 1. **REVENUE RECEIPTS :-** Revenue Receipts are those receipts which are occurred by normal operation of business like money received by sale of business products.

- 2. **CAPITAL RECEIPTS:-**Capital Receipts are those receipts which are occurred by other than business operation like money received by sale of fixed assets.

- **EXPENSES:-** Generating income is the foremost objective of every business. The firm has to use certain goods and services to produce articles sold by it, payment for these goods and services is called expenses. Costs incurred by a business for earning revenue are known as expenses. For example: Rent, Wages, Salaries, Interest etc,

- **EXPENDITURE:-**Spending money or incurring a liability for acquiring assets, goods or services is called expenditure. The expenditure is classified as:

- 1. **REVENUE EXPENDITURE :-**If the benefit of expenditure is received within a year, it is called revenue expenditure, For Example : Rent, Interest etc.

- 2. **CAPITAL EXPENDITURE:-** If benefit of expenditure is received for more than one year, it is called capital expenditure, Example: Purchase of Machinery.

- **DEFERRED REVENUE EXPENDITURE :-** There are certain expenditures which are revenue in nature but benefit of which is derived over number of years. For Examples: Huge Advertisement Expenditure.

- **PROFIT:-**The excess of revenues over its related expenses during an accounting year is profit.

- Profit = Revenue— Expenses

- **GAIN:-** A non-recurring profit from events or transactions incidental to business such as sale of fixed assets, appreciation in the value of an asset etc.

- **LOSS:-**The excess of expenses of a period over its related revenues it termed as loss.

- Loss = Expenses — Revenue

- **GOODS**:-The products in which the business deal in. The items that are purchased for the purpose of resale and not for use in the business are called goods.
- **PURCHASES**:- The term purchase is used only for the goods procured by a business for resale. In case of trading concerns it is purchase of final goods and in manufacturing concern it is purchase of raw materials. Purchases may be cash purchases or credit purchases. Purchase of goods (not of property or assets) either for cash or credit are termed as purchases.
- $\text{Total Purchases} = \text{Cash Purchases} + \text{Credit Purchases}$
- $\text{Net Purchases/ Net Total Purchases} = \text{Total Purchases} - \text{Purchases Returns}$
- **PURCHASE RETURN OR RETURN OUTWORD OR RETURN (CR)** :- It is that part of purchases of goods, which is returned to seller. This return may be due to unnecessary , excessive and defective supply of goods.
- **SALE**:- Sales are total revenues from goods sold or services provided to customers. May be cash sales or credit sales.
- $\text{Total Sales} = \text{Cash Sales} + \text{Credit Sales}$
- $\text{Net Sales/ Net Total Sales} = \text{Total Sales} - \text{Sales Return}$
- **SALES RETURN OR RETURN INWORD OR RETURN (DR)** :- It is that part of sales of goods which is actually returned to us by purchases. This return may also be due to excessive , unnecessary and defective supply of goods.

GOOD

PURCHASING

SELLING  kit8.net

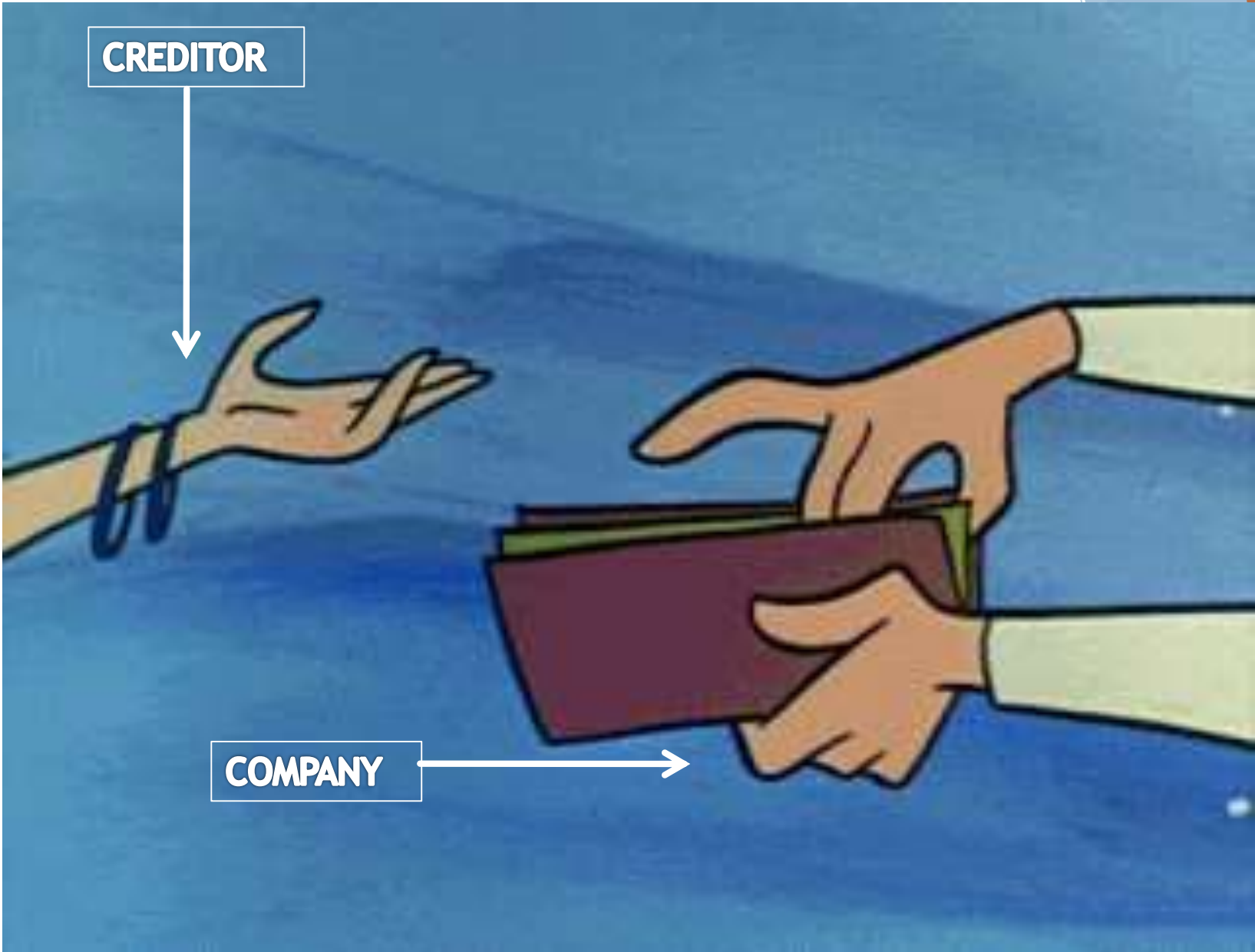


- **DEBTORS**:- Debtors are persons and/or other entities to whom business has sold goods and services on credit and amount has not received yet. These are assets of the business.
- **CREDITORS**:- If the business buys goods/services on credit and amount is still to be paid to the persons and /or other entities, these are called creditors. These are liabilities for the business.
- **BILL RECEIVABLE**:-Bill Receivable is an accounting term of Bill of Exchange. A Bill of Exchange is Bill Receivable for seller at time of credit sale.
- **BILL PAYABLE**:-Bill payable is also an accounting term of Bill of Exchange, A Bill of Exchange is Bill Payable for purchaser at time of credit purchase.
- **DISCOUNT**:-It is the rebate given by the seller to the buyer. It can be classified as:
 - 1. **TRADE DISCOUNT** :- The purpose of this discount is to persuade the buyer to buy more goods. It is offered at an agreed percentage of list price at the time of selling goods. The discount is not recorded in the accounting books as it is deducted in the invoice/cash memo.
 - 2. **CASH DISCOUNT**:- The objective of providing cash discount is to encourage the debtors to pay the dues promptly. This discount is recorded in the accounting books.
 - 3. **QUANTITY DISCOUNT** :- As the name implies this type of discount is given to customer to encourage them to purchase in large quantities.
- **ACCOUNT**:- Account refers to a summarized record of relevant transactions of particular head at one place.
- **INCOME**:-Income is a wider term, which includes profit also Income means increase in

CREDITOR



COMPANY



- **STOCK**:- The goods available with the business for sale on a particular date is known as stock. The goods available with the business in sale on a particular date is termed as stock. It varies i.e. increase or decrease and goes on changing. In accounting there are two terms in stock.
 - 1. Opening Stock :- Stock in the beginning of the financial year.
 - 2. Closing Stock :- Stock at the end of the year is called closing stock.
- **COST**:- Cost refers to expenditures incurred in acquiring manufacturing and processing goods to make it saleable.
- **LOSSES** :- Losses are unwanted burden which is business is forced to bears. Losses are different from expenses in the sense that expenses are voluntarily incurred to generate income where losses are forced to bear.
 - There are two types of losses.
 - 1. NORMAL LOSSES :-It is due to inherent weakness in the commodities. E.g. coal , cement , oil , ghee , ice , petrol. There will be shortage in their weight due to leakage , evaporation , spoilage and wastage during the journey.
 - 2. ABNORMAL LOSS :- Loss due to earthquake , fire , flood , storm , theft and accident.
- **EVENTS** :- Any happening of the business, monetary or non-monetary i.e. use of raw material in production.
- **ENTITY** :- An entity means an economic units that perform economic activities (i.e. Tisco, Telco, reliance industries.)

- ▶ **TRANSACTION** :-An event the recognition of which gives rise to an entry in accounting records or a business activity or event which has taken place.
- ▶ **VOUCHER** :- The documentary evidence in support of a transaction is known as voucher. For example, if we buy goods for cash we get cash memo, if we buy on credit, we get an invoice, when we make a payment, we get receipt and so_on.
- ▶ **ENTRY**:- The record of a transaction or event in the books of account is known as entry.
- ▶ **ACCOUNTING YEAR** :- Period containing 12 months and books are closed annually is known as accounting year.
- ▶ **OUTSTANDING INCOME OR ACCRUED INCOME** :- Income due but not received is called o/S income.
- ▶ **PREPAID EXPENSES OR UNEXPIRED EXPENSES** :-If expense paid in advance is called prepaid expenses.
- ▶ **RECEIVED IN ADVANCE OR UNEARNED INCOME** :- If any things received in advance is called received in advance.
- ▶ **OUTSTANDING EXPENSES**:-Expenses due but not paid is called outstanding expenses.
- ▶ **ACCOUNT** :- An account is a register of a particular class of money transaction.
- ▶ **BROUGHT FORWARD(b/d)** :- Used to open an A/C in current year by posting the closing balance of previous year.
- ▶ **CARIED DOWN(c/d)** :- The term is used to balance an account.